

In the End

The reimbursements are primarily determined by the business expenses and the tax structure. Some of the organizations introduced reimbursements for ergonomic furniture and white goods like air conditioners during the pandemic for the employees who were working from home. One of the reasons for introducing these reimbursements was that these expenses were tax exempted. If you include them as part of the CTC of an employee, the employee receives the tax benefit and the “Cash in Hand” increases without actually increasing the CTC. Relocation expense reimbursement is one of the most costliest reimbursement. In the next chapter we will explore the necessity of this reimbursement.

Experience is not created by what you pay, it is created by how you pay.

Hands-on HR

Here are some hands-on questions for you to apply what you learnt in this chapter.

1. Create a payslip format

Create a salary slip format using Paysliper. (<https://paysliper.com/payslip-sample-template>)

2. Complete a free trial

Assume you have three employees working in Maharashtra. You are to pay them a salary for the month of April 2022 with 21 working days.

Parameter	Ravi	Jyoti	Jia
Date of Joining	01 April 2020	01 April 2021	15 April 2022
Absence Days	0	4	0
Basic Salary (INR)	20,000	20,000	20,000
HRA (INR)	3,000	4,000	5,000

Do a free trial with any of the following payroll softwares with the above details.

Zoho (<https://www.zoho.com/in/payroll/free-payroll-software/>)

Razorpay (<https://payroll.razorpay.com/signup>)